BEST ACCOUNTANCY RATIOS TO STUDY

Ultimate Revision Resource for High-Scoring Results

📊 TOP 10 ESSENTIAL RATIOS (WITH FORMULAS)

1. Current Ratio

Current Assets ÷ Current Liabilities

This is the most fundamental liquidity ratio used to assess a firm's ability to meet short-term obligations using its current assets. It is frequently asked in MCQs, case studies, and transaction-effect questions. An ideal ratio is generally considered to be 2:1.

📊 PYQ Repetition: 6–7 Years

2. Quick Ratio (Acid Test Ratio)

Quick Assets ÷ Current Liabilities

Quick Assets = Current Assets – (Inventory + Prepaid Expenses). This ratio measures immediate liquidity by excluding assets that are not easily convertible into cash. It displays a more stringent test of the company's financial health, with an ideal ratio of 1:1.

📊 PYQ Repetition: 5–6 Years

3. Debt Equity Ratio

Total Long-term Debt ÷ Shareholders' Funds

This solvency ratio compares long-term debt to the owner's capital to assess the financial leverage of a company. Boards often pair this with Interest Coverage Ratio or ask for interpretation on its impact on company risk. An ideal ratio is 2:1.

📊 PYQ Repetition: 5–6 Years

4. Interest Coverage Ratio

Net Profit Before Interest and Tax (EBIT) ÷ Interest on Long-term Debt

This ratio indicates how many times the profit of a company can cover its interest expenses on long-term borrowings. A higher ratio indicates a better safety margin for lenders. It is a high-probability question usually featured in comprehensive case studies.

📊 PYQ Repetition: 5 Years | HIGH PROBABILITY ⭐⭐⭐⭐

5. Operating Profit Ratio

(Operating Profit ÷ Revenue from Operations) × 100

It focuses on the core operational efficiency of a business by showing the percentage of profit earned from regular activities. Alternatively, it can be calculated as [100% – Operating Ratio]. This duality is often tested in indirect board questions.

📊 PYQ Repetition: 5 Years

6. Operating Ratio

(Cost of Revenue + Operating Expenses) ÷ Revenue × 100

This ratio reflects the operational cost as a percentage of revenue, where a lower ratio is generally preferred. Operating expenses include items like selling and administrative costs but exclude interest and taxes. It is vital for analyzing cost control effectiveness.

📊 PYQ Repetition: 4–5 Years

7. Inventory Turnover Ratio

Cost of Revenue from Operations ÷ Average Inventory

This efficiency ratio calculates how many times a company's inventory is sold and replaced during a given period. It is often used in combination with liquidity ratios to judge management's ability to move stock. Higher turnover indicates better stock management.

📊 PYQ Repetition: 4 Years | MEDIUM PROBABILITY ⭐⭐⭐

8. Gross Profit Ratio

(Gross Profit ÷ Revenue from Operations) × 100

This basic profitability ratio calculates the percentage of revenue remaining after subtracting the cost of goods sold. It represents the margin available to cover operating and non-operating expenses. Trends in GP ratio are critical for pricing strategy analysis.

📊 PYQ Repetition: 3–4 Years

9. Net Profit Ratio

(Net Profit after Tax ÷ Revenue from Operations) × 100

This ratio measures overall profitability after considering all expenses, including interest and taxes. It serves as an indicator of the company's total financial success relative to its sales volume. It is highly useful for comparing companies within the same industry.

📊 PYQ Repetition: 3 Years

10. Return on Investment (ROI)

(Net Profit before Interest, Tax & Dividends ÷ Capital Employed) × 100

ROI measures the overall return on the total capital utilised in the business (Equity + Long-term Debt). It is the ultimate test of profitability from the perspective of both lenders and owners. Capital Employed can also be calculated as Non-current Assets + Working Capital.

📊 PYQ Repetition: 3 Years

🎯 BOARDS FAVOURITE COMBINATIONS & TRANSACTIONS

Standard Combinations:
1. Debt Equity + Interest Coverage
2. Quick Ratio + Inventory Turnover
3. Operating Ratio + Operating Profit
4. Current Ratio + Transaction Analysis

Crucial Transactions:
1. Payment to creditors (Ratio improves if CR > 1)
2. Sale of stock (at Profit vs Loss effect)
3. Purchase of Fixed Asset on credit
4. Collection from Debtors (No change)

🏆 FINAL PROBABILITY MATRIX

Ratio Name	Board Exam Probability
Current Ratio	⭐⭐⭐⭐⭐ (Guaranteed)
Quick Ratio	⭐⭐⭐⭐⭐ (Guaranteed)
Debt Equity Ratio	⭐⭐⭐⭐⭐ (Guaranteed)
Interest Coverage Ratio	⭐⭐⭐⭐ (Very High)
Operating Profit Ratio	⭐⭐⭐⭐ (Very High)
Inventory Turnover	⭐⭐⭐ (High)
Gross Profit Ratio	⭐⭐⭐ (High)